

DEEP-DIVE #2

Sound Money for the Arts

BFTA's analytical case for why fiat debasement hits working artists harder than most professions — gig income, no equity capital, limited ability to time markets — and why Bitcoin-native endowments change the funding horizon for arts institutions. Analyzes purchasing-power decay of historical arts grants, the limits of traditional endowment spending rules under monetary expansion, and Bitcoin reserve durability over multi-decade horizons.

Byline

Bitcoin for the Arts Research

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2026-05-10

CitationBitcoin for the Arts Research. (2026). *Sound Money for the Arts*.**-87.9%****DOLLAR PURCHASING POWER**Approximate decline in the CPI purchasing power of one U.S. dollar from January 1971 to March 2026. ^[1]**35.8x****M2 MONEY STOCK**Increase in U.S. M2 from January 1971 to March 2026, based on Federal Reserve H.6 data via FRED. ^[2]

3.6x

ARTIST SELF-EMPLOYMENT

NEA reported artists were 3.6 times as likely as other workers to be self-employed in 2012-2016. ^[6]

4.8%

ENDOWMENT SPENDING

Average effective spending rate reported in the FY2024 NACUBO-Commonfund Study of Endowments. ^[3]

Abstract

BFTA's analytical case for why fiat debasement hits working artists harder than most professions — gig income, no equity capital, limited ability to time markets — and why Bitcoin-native endowments change the funding horizon for arts institutions. Analyzes purchasing-power decay of historical arts grants, the limits of traditional endowment spending rules under monetary expansion, and Bitcoin reserve durability over multi-decade horizons.

WHY THIS BRIEF EXISTS

Bitcoin for the Arts Research is the public research program of Bitcoin For The Arts, Inc., a 501(c)(3) nonprofit. Every claim in this document is traceable to a primary source. The institutional byline is "Bitcoin for the Arts Research" — there are no personal bylines on BFTA reports. See the live web version for the full report; this PDF is the citable, print-ready brief.

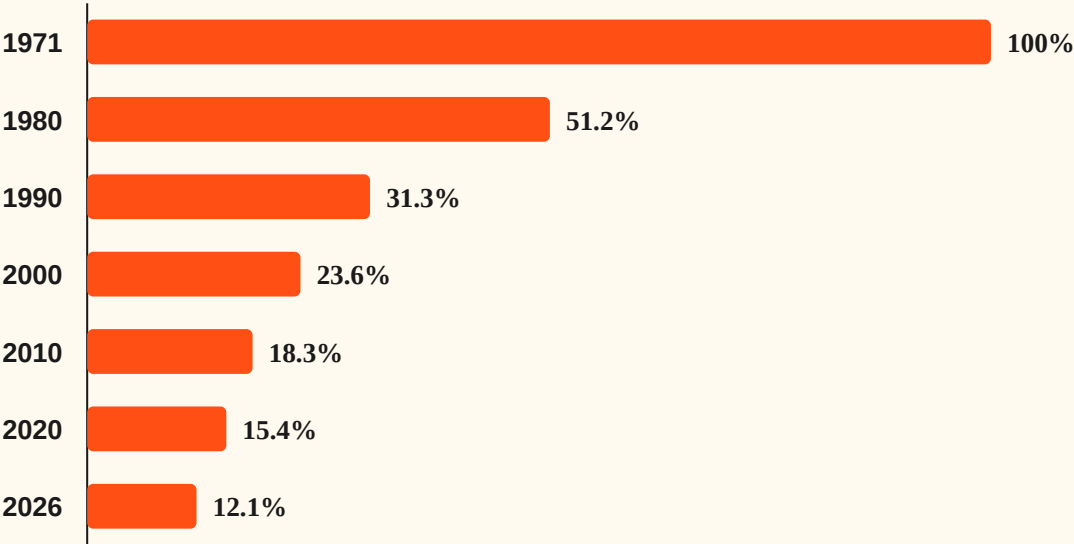
Report structure

- 01 Why working artists are exposed
- 02 Purchasing power decay
- 03 Traditional endowment limits
- 04 Bitcoin reserve durability
- 05 Risks, caveats, and fiduciary framing

Headline charts

Purchasing power remaining from a 1971 dollar

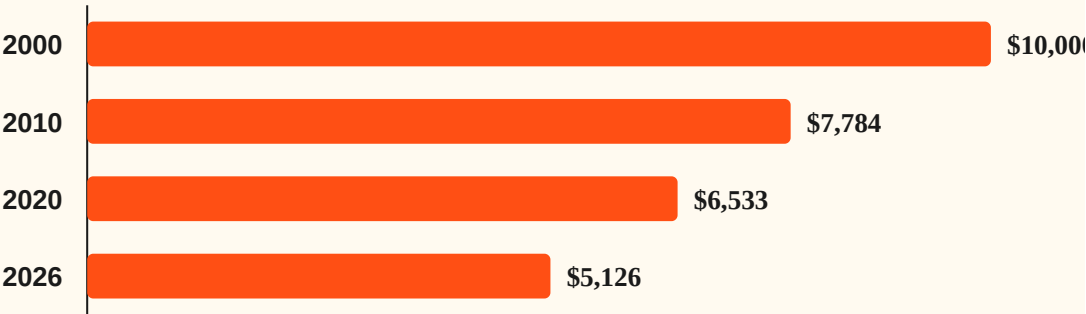
CPI-based estimate using January observations and March 2026 as the latest available value. The chart shows purchasing power relative to January 1971 = 100.



Source: U.S. Bureau of Labor Statistics via FRED, Consumer Price Index for All Urban Consumers: All Items in U.S. City Average (CPIAUCSL).

Real value of a fixed \$10,000 arts grant

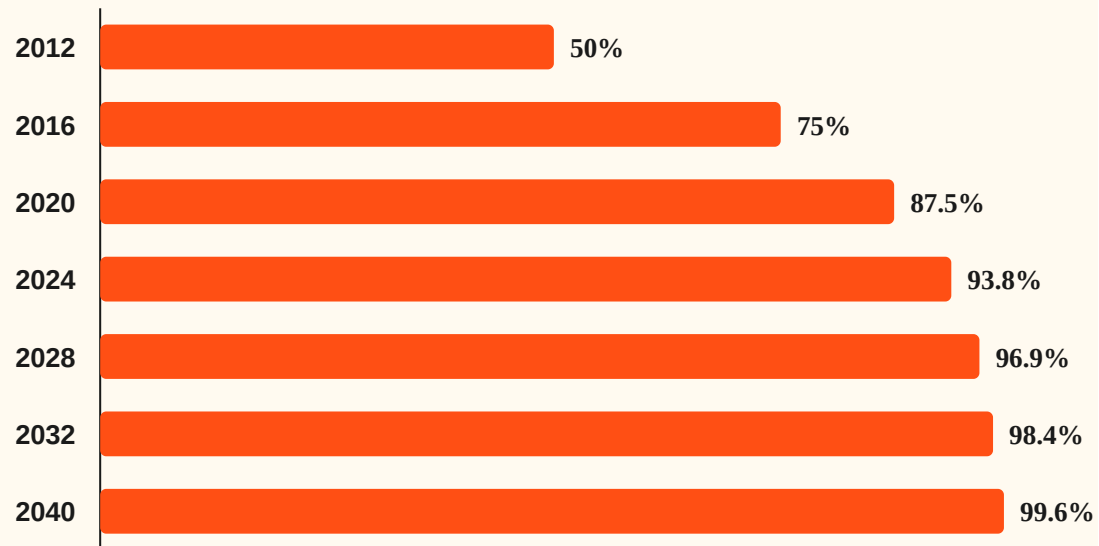
If a nominal grant amount stays fixed at \$10,000, its CPI-adjusted purchasing power falls as input costs rise.



Source: U.S. Bureau of Labor Statistics via FRED, Consumer Price Index for All Urban Consumers: All Items in U.S. City Average (CPIAUCSL).

Bitcoin issuance approaches a fixed terminal supply

Bitcoin's subsidy schedule approaches, but does not exceed, roughly 21 million bitcoin. This is a monetary-rule chart, not an investment-return chart.



Source: Bitcoin Wiki, Controlled Supply.

Illustrative reserve durability scenario

A conventional endowment model with 6.8% nominal return, 4.8% annual spending, and 3.0% inflation loses real principal over time. A BTC reserve line is shown as units held, not projected purchasing power.



Sources: NACUBO, U.S. Higher Education Endowments Report 6.8% 10-Year Average Annual Return; U.S. Bureau of Labor Statistics via FRED, Consumer Price Index for All Urban Consumers: All Items in U.S. City Average (CPIAUCSL); Bitcoin Wiki, Controlled Supply.

Where to read the full report

The complete, web-rendered version of this report — with full narrative text, source-linked footnotes, and any updates posted since this PDF was generated — lives at bitcoinforthearts.org/research/sound-money-for-the-arts.

The canonical, citable chart-data JSON behind every number in this brief is published at github.com/Bitcoin-For-The-Arts/Research.

"If we do not have a reference, we do not publish the data. Period." — BFTA Research methodology

References

- [1] U.S. Bureau of Labor Statistics via FRED, Consumer Price Index for All Urban Consumers: All Items in U.S. City Average (CPIAUCSL). <https://fred.stlouisfed.org/series/CPIAUCSL>
- [2] Board of Governors of the Federal Reserve System via FRED, M2 Money Stock (M2SL). <https://fred.stlouisfed.org/series/M2SL>
- [3] NACUBO, U.S. Higher Education Endowments Report 6.8% 10-Year Average Annual Return. <https://www.nacubo.org/Press-Releases/2025/US-Higher-Education-Endowments-Report-10-Year-Average-Annual-Return>
- [4] Satoshi Nakamoto, Bitcoin: A Peer-to-Peer Electronic Cash System. <https://bitcoin.org/bitcoin.pdf>
- [5] Bitcoin Wiki, Controlled Supply. https://en.bitcoin.it/wiki/Controlled_supply
- [6] National Endowment for the Arts, Artists and Other Cultural Workers: A Statistical Portrait. https://www.arts.gov/sites/default/files/Artists_and_Other_Cultural_Workers.pdf
- [7] National Endowment for the Arts, Artists and Other Cultural Workers indicator archive. <https://www.arts.gov/impact/research/NASERC/artists-and-other-cultural-workers>
- [8] U.S. Bureau of Labor Statistics, Occupational Outlook Handbook: Craft and Fine Artists. <https://www.bls.gov/ooh/arts-and-design/craft-and-fine-artists.htm>
- [9] U.S. Bureau of Economic Analysis, Arts and Cultural Production Satellite Account, U.S. and States, 2023. <https://www.bea.gov/news/2025/arts-and-cultural-production-satellite-account-us-and-states-2023>

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